

BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, DC 20573

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

COMPLAINANT, MSRF, INC.'s APPENDIX

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Before the
FEDERAL MARITIME COMMISSION
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Docket No. 22-21
MSRF Inc. v. Yang Ming Transport Corporation

**DECLARATION OF DAVID REICH IN SUPPORT OF
MOTION FOR SUMMARY DECISION**

DAVID REICH, hereby declares as follows:

1. I am the president, founder and majority shareholder for MSRF Inc. (“MSRF”), the Petitioner in the above-referenced action.
2. I have personal knowledge of the facts set forth herein, and am fully familiar with the proceedings in this case.
3. I submit this Declaration in support of MSRF’s Motion for Summary Decision.
4. MSRF and Respondent Yang Ming Transport Corporation entered into a one-year service contract (SC 494721) effective May 1, 2021. A true and correct copy of the service contract is attached hereto as **Group Exhibit A**.
5. When executed, the duration of the service contract was from May 1, 2021 through April 30, 2022. Group Ex. A, YM 000394.
6. The service contract was kept in the ordinary and normal course of business and was agreed to and executed by both MSRF and Yang Ming. Group Ex. A. I personally executed the contracts on behalf of MSRF along with MSRF’s Vice President Jeffrey Reich.
7. The service contract was amended on seven occasions. Group Ex. A. Many of the amendments simply added different routes to the parties’ agreement.

8. The service contract provided for a minimum quantity commitment of 100 twenty equivalent units (“TEUs”) from Asia to the U.S. during the contract period of May 1, 2021 through April 30, 2022.

9. Yang Ming provided only 8 TEUs on the Transpacific Eastbound lane and 2 TEUs on the Transpacific Westbound lane for a total of 10 TEUs during the term of the service contract. The service contract also identified the prices to be charged for various routes, including the prices for the TEUs.

10. MSRF suffered further damages through Yang Ming’s refusal to provide space when requested by MSRF. The documents produced in discovery are replete with examples of this refusal to deal. For example, in email correspondence between MSRF and Yang Ming from April 2021, May 2021, and June 2021 requesting bookings from Qingdao, China, Yang Ming refused to provide space. MSRF_YANG MING_0005775-5777 attached hereto as **Exhibit B**, MSRF_YANG MING_0005771-5773 attached hereto as **Exhibit C**, and MSRF_YANG MING_0005769-5770 attached as **Exhibit D**. The emails were kept in the ordinary and normal course of business and I am familiar with these documents based upon a review of MSRF’s business records.

11. I am familiar with the damages worksheet produced by MSRF to Yang Ming. This worksheet is based on business records maintained by MSRF in its ordinary course of business and is attached hereto as **Exhibit E**.

12. The damages worksheet lists each shipment of goods by MSRF on which it paid freight costs in excess of those agreed by Yang Ming in the service contract.

13. My understanding is that the underlying documents supporting the damages worksheet were produced in discovery to Yang Ming and the worksheet has reference to the specific bates-numbers for the underlying business records.

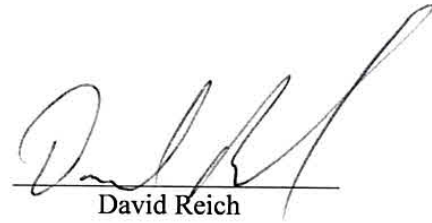
14. The damages worksheet also contains the costs related to shipments which were originally booked for movement from the port of lading to an inland destination in the United States, but the movement was terminated at the port of unlading because Yang Ming was unable to provide rail movement to the original destination. These additional costs are for transloading and trucking charges.

15. The total damages are \$1,883,081.67 on a total of 265.5 TEUs. These damages average \$7,082.59 per TEU.

16. The total damages total \$1,883,081.67 but this includes damages for 265.5 TEUs that needed to be shipped by other carriers. As the minimum quantity commitment was only 100 TEUs and Yang Ming only provided space for 10.75 containers, MSRF is only seeking damages for 89.25 containers. Taking \$1,883,081.67 divided by 265.5 TEUs and multiplying that by 89.25 is \$633,013.33. Those are the damages sought by MSRF in this case.

I declare that the foregoing is true and correct to the best of my knowledge and belief.

Dated: April 20, 2023



David Reich

MSRF, INC.'s GROUP EXHIBIT A

(CONFIDENTIAL)

MSRF, INC.'s EXHIBIT B

(CONFIDENTIAL)

MSRF, INC.'s EXHIBIT C

(CONFIDENTIAL)

MSRF, INC.'s EXHIBIT D

(CONFIDENTIAL)

MSRF, INC.'s EXHIBIT E

EXHIBIT E

Vendor	No. Of Overcharged Containers		Excess Freight Charges ¹	Excess/TEU	SC MQC (TEU)	Actual Moves (TEU)	Shortfall (TEU)
	40' High Cube	Equivalent TEU (2.25 TEU/40HC)					
QGP	111	249.75	\$ 1,506,006.91	\$ 6,030.06	100	10.75	89.25
WK	7	15.75	\$ 65,750.72	\$ 4,174.65			
Total	118	265.5	\$ 1,571,757.63	\$ 5,919.99		Total Damages	\$ 633,013.33
		Transload Charges	\$ 221,077.50				
		Chassis Charges	\$ 90,246.54				
		Grand Total	\$ 1,883,081.67				
		Excess per TEU	\$ 7,092.59				

Notes:

¹ Excess Freight Charges = Difference Between Amount Paid and Service Contract Rate

CX_0161

CX_0162

142	00002227-0000200	Drifcon Shipments	21 Sep 22	China	AC Logistics Tampa, FL	000022270076	34-07-05	64.50	8 Oct 22	Vancouver Canada	20 Oct 22	0000	70003322-01007200G	15,360	3,840	4	210P1101 140	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 20,000.00	\$ 5,720.00	\$ 16,281.00	\$ 3,000.00	\$ 177.00	\$ 472.44	\$ 2,000.00	\$ 100.00	TopOcean Canton	\$ 20,424.96
143	00002061-0000204	Drifcon Shipments	22 Sep 22	China	AC Logistics Tampa, FL	00002061000061	34-07-05	45.50	21 Oct 22	Vancouver Canada	06 Nov 22	0000	70003300-00022000M	18,000	2,000	9	210P1101 130	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 20,000.00	\$ 5,720.00	\$ 16,481.00	\$ 2,710.00	\$ 180.00	\$ 836.40	\$ 2,300.00	\$ 100.00	PodlogaCo canton HONG KONG	\$ 20,645.20
144	00000061-0000008	Drifcon Shipments	24 Sep 22	China	Los Angeles CA	00000061000003	34-07-05	83.60	5 Oct 22	Los Angeles, CA	05 Oct 22	0000	70003300-00007000M	364	94	6	210P1101 137	REC00000	1	\$ 3,100.00	\$3,007 + Bof- 2002	\$ 17,300.00	\$ 3,100.00	\$ 14,101.00	\$ 2,045.52	\$ 232.00	\$ 424.00	\$ -	\$ -	TopOcean canton HONG KONG	\$ 21,426.27
145	00000000-0000000	Drifcon Shipments	24 Sep 22	China	Durham, NC	00000000000000	34-07-05	21.70	5 Oct 22	Los Angeles, CA	15 Oct 22	0000	70003300-00000000M	1,332	187	6	210P1101 01	REC00000	1	\$ 6,100.00	\$5,007 + Bof- 2002	\$ 6,200.00	\$ 6,100.00	\$ 29.11	\$ -	\$ -	\$ -	\$ 6,000.00	\$ 31.17	TopOcean Winn Hill	\$ 18,261.21
147	00000000-0000000	Drifcon Shipments	21 Sep 22	China	AC Logistics Tampa, FL	00000000000000	34-07-05	66.00	9 Oct 22	Los Angeles, CA	19 Oct 22	0000	70003300-00000000M	7,840	1,560	4	210P1101 130	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 21,000.00	\$ 5,720.00	\$ 16,281.00	\$ 3,110.70	\$ 177.00	\$ 807.00	\$ 3,100.00	\$ 200.00	TopOcean Canton	\$ 20,022.30
148	00002227-0000200	Drifcon Shipments	24 Sep 22	China	DANSON Lynchburg, VA	00002227000000	34-07-05	86.00	5 Oct 22	Los Angeles, CA	15 Oct 22	0000	70003300-00000000M	7,840	1,560	4	210P1101 137	REC00000	4	\$ 5,600.00	\$5,607 + Bof- 2002	\$ 21,000.00	\$ 5,600.00	\$ 16,400.00	\$ 3,110.70	\$ 200.00	\$ 3,110.70	\$ 45,522.10	\$ 357.10	TopOcean Winn Hill	\$ 190,129.10
149	00000000-0000000	Drifcon Shipments	24 Sep 22	China	Tampa, FL	00000000000000	34-07-05	51.50	5 Oct 22	Los Angeles, CA	15 Oct 22	0000	70003300-00000000M	4,708	708	6	210P1101 01	REC00000	2	N/A	\$5,537 + Bof- 2002	\$ 15,000.00	\$ -	\$ 35,000.00	\$ 2,412.70	\$ 250.00	\$ 307.34	\$ 10,000.00	\$ 141.84	TopOcean Winn Hill	\$ 25,430.67
150	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Columbus, OH	00000000000000	34-07-05	48.00	9 Oct 22	Los Angeles, CA	20 Oct 22	0000	70003300-00000000M	2,010	330	6	210P1101 137	REC00000	1	\$ 6,100.00	\$5,537 + Bof- 2002	\$ 18,000.00	\$ 6,100.00	\$ 10,400.00	\$ 3,110.70	\$ 250.00	\$ 408.40	\$ 10,000.00	\$ 91.82	TopOcean Winn Hill	\$ 35,407.24
151	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	49.00	8 Oct 22	Los Angeles, CA	12 Oct 22	0000	70003300-00000000M	800	100	6	210P1101 01	REC00000	1	\$ 3,100.00	\$3,007 + Bof- 2002	\$ 17,300.00	\$ 3,100.00	\$ 14,101.00	\$ 2,045.52	\$ 232.00	\$ 424.00	\$ -	\$ -	TopOcean Winn Hill	\$ 21,807.25
152	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	61.60	15 Oct 22	Los Angeles, CA	16 Oct 22	0000	70003300-00000000M	1,534	264	6	210P1101 137	REC00000	1	\$ 3,100.00	\$3,007 + Bof- 2002	\$ 13,500.00	\$ 3,100.00	\$ 10,351.00	\$ 2,045.52	\$ 232.00	\$ 424.00	\$ -	\$ -	TopOcean Winn Hill	\$ 23,758.72
153	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	36.10	15 Oct 22	Los Angeles, CA	16 Oct 22	0000	70003300-00000000M	800	400	6	210P1101 02	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 14,000.00	\$ 5,720.00	\$ 8,281.00	\$ 2,710.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 20,000.00
154	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	61.60	15 Oct 22	Los Angeles, CA	16 Oct 22	0000	70003300-00000000M	2,666	416	6	210P1101 140	REC00000	1	\$ 3,100.00	\$3,007 + Bof- 2002	\$ 16,000.00	\$ 3,100.00	\$ 12,901.00	\$ 2,045.52	\$ 232.00	\$ 424.00	\$ -	\$ -	TopOcean Winn Hill	\$ 27,008.51
155	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	62.00	15 Oct 22	Los Angeles, CA	16 Oct 22	0000	70003300-00000000M	3,800	360	6	210P1101 137	REC00000	1	\$ 3,100.00	\$3,007 + Bof- 2002	\$ 16,000.00	\$ 3,100.00	\$ 12,901.00	\$ 2,045.52	\$ 232.00	\$ 424.00	\$ -	\$ -	TopOcean Winn Hill	\$ 4,602.45
156	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Houston, TX	00000000000000	34-07-05	27.00	25 Oct 22	Los Angeles, CA	15 Nov 22	0000	70003300-00000000M	1,800	300	6	210P1101 06	REC00000	1	\$ 2,200.00	\$1,007 + Bof- 2002	\$ 18,100.00	\$ 2,200.00	\$ 8,111.00	\$ 491.40	\$ 177.00	\$ 374.40	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 23,720.00
157	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	43.300	14 Oct 22	Los Angeles, CA	21 Oct 22	0000	70003300-00000000M	8,000	2,000	4	210P1101 137	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 18,500.00	\$ 5,720.00	\$ 10,781.00	\$ 3,110.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 33,179.68
158	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	43.300	14 Oct 22	Los Angeles, CA	21 Oct 22	0000	70003300-00000000M	3,004	954	6	210P1101 135	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 17,000.00	\$ 5,720.00	\$ 11,281.00	\$ 3,110.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 33,400.00
159	00002227-0000200	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00002227000000	34-07-05	60.200	14 Oct 22	Los Angeles, CA	3 Nov 22	0000	70003300-00000000M	8,000	2,000	4	210P1101 135	REC00000	1	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 15,500.00	\$ 5,720.00	\$ 10,781.00	\$ 3,110.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 32,824.63
160	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	45.400	14 Oct 22	Los Angeles, CA	3 Nov 22	0000	70003300-00000000M	8,500	2,120	4	210P1101 139	REC00000	1	\$ 5,800.00	\$5,607 + Bof- 2002	\$ 18,100.00	\$ 5,800.00	\$ 10,301.00	\$ 3,110.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 32,825.22
161	00000000-0000000	Drifcon Shipments	26 Sep 22	China	Los Angeles, CA	00000000000000	34-07-05	45.400	14 Oct 22	Los Angeles, CA	30 Oct 22	0000	70003300-00000000M	41,004	1,100	36	210P1101 136	REC00000	2	\$ 5,720.00	\$5,537 + Bof- 2002	\$ 18,000.00	\$ 5,720.00	\$ 16,572.00	\$ 3,110.70	\$ 232.00	\$ 424.00	\$ 6,000.00	\$ 6,000.00	TopOcean Winn Hill	\$ 30,700.00

Nos.	SHIPPER	ETD POL	PORT OF LOADING	DESTINATION	Container #	CNTR SIZE	Total CBM	ETA/US 1st Port	POD	ETA Destination	Vendor	PO #	ITEM #	# Pieces	# Cartons	Unit Packs	Shipper Inv#	Delivery Status	No of Containers	Yang Ming Total Rate	YangMing SC Rate	Actual Freight Charges	YM SC	YM Difference	DUTY	CHB Charges	INSURANCE	TRANSLOAD + TRUCK	Chassis	Carrier	Total FRT Expenses
0010365	Weifang Kalmox	31-Jul-21	Qingdao, China	Columbus, OH	FSCU8565240	1 x 40'HQ	40.40	25-Aug-21	Los Angeles, CA	02-Sep-21	BIG LOTS Columbus, OH	70025023 92014016	P1710478IG	4,716	393	12	22101D15E	10/12/21 DELIVERED	1	6373	\$5,997 + BAF-\$376	\$ 11,726.85	\$ 6,373.00	\$ 5,353.85	\$ 2,280.05	\$ 153.87	\$ 350.32	\$ -	\$ -	ONE Unipac	\$ 15,336.38
0010369	Weifang Kalmox	1-Aug-21	Qingdao, China	Apple Valley, CA	CAIU7695004	1 x 40'HQ	33.70	25-Aug-21	Los Angeles, CA	25-Aug-21	BIG LOTS Apple Valley, CA	70025023 92013993	P1710478IG	4,284	357	12	22101D15A	9/30/21 DELIVERED	1	4549	\$4,347 + BAF-\$202	\$ 10,776.84	\$ 4,549.00	\$ 6,227.84	\$ 756.02	\$ 115.15	\$ 329.95	\$ -	\$ -	YML Topocean	\$ 12,428.48
0010372	Weifang Kalmox	2-Sep-21	Qingdao, China	4C Logistics Itasca, IL	DRYU6089301	1 x 40'HQ	69.36	20-Sep-21	Vancouver, Canada	29-Sep-21	MSRF	70025049	P165927-6	4,200	700	6	22101D28	RECEIVED	1	5739	\$5,537 + BAF-\$202	\$ 18,110.00	\$ 5,739.00	\$ 12,371.00	\$ 690.69	\$ 287.00	\$ 876.42	\$ 718.82	\$ 296.00	RSL/Pegasus ONE	\$ 22,826.50
0010376	Weifang Kalmox	20-Jul-21	Qingdao, China	Montgomery, AL	TRHU4895407	1 x 40'HQ	35.50	14-Aug-21	Los Angeles, CA	24-Aug-21	BIG LOTS Montgomery	70025023 92014013	P1710478IG	4,380	365	12	22101D15B	DELIVERED	1	5776	\$5,574 + BAF-\$202	\$ 10,900.24	\$ 5,776.00	\$ 5,124.24	\$ 1,412.40	\$ 102.27	\$ 295.50	\$ -	\$ -	OOCL Topocean	\$ 12,757.04
0010380	Weifang Kalmox	18-Jul-21	Qingdao, China	Tremont, PA	TGBU8039848	1 x 40'HQ	41.00	20-Aug-21	New York, NY	25-Aug-21	BIG LOTS Tremont	70025023 92014014	P1710478IG	5,040	420	12	22101D15C	RECEIVED	1		n/a	\$ 8,683.12	\$ -	\$ 8,683.12	\$ 911.89	\$ 154.73	\$ 327.44	\$ 1,263.30	\$ 287.26	Evergreen Pegasus/RSL	\$ 12,109.23
0010384	Weifang Kalmox	23-Jul-21	Qingdao, China	Durant, OK	CICU2257437	1 x 40'HQ	32.00	12-Aug-21	Los Angeles, CA	25-Aug-21	BIG LOTS Durant	70025023 92014015	P1710478IG	3,516	293	12	22101D15D	DELIVERED	1	3199	\$5,997 + BAF-\$202	\$ 11,095.48	\$ 3,199.00	\$ 7,896.48	\$ 1,216.77	\$ 76.86	\$ 281.30	\$ -	\$ -	CMA-CGM Unipac	\$ 12,937.19
0010387	Weifang Kalmox	25-Aug-21	Qingdao, China	Montgomery, AL	TGBU4657684	1 x 40'HQ	34.60	6-Oct-21	Mobile, AL	13-Oct-21	BIG LOTS Montgomery	70025023 92014028	P1710478IG	5,868	489	12	22101D15G	DELIVERED 11/11/21	1	5750	\$5,574 + BAF-\$376	\$ 11,395.30	\$ 5,750.00	\$ 5,645.30	\$ 2,239.83	\$ 215.94	\$ 311.14	\$ -	\$ -	ONE Unipac/MW	\$ 14,870.78
	Weifang Kalmox	24-Sep-21	Qingdao, China	Durant, OK	WHSU6102290	1 x 40'HQ	39.50	5-Oct-21	Los Angeles, CA	15-Oct-21	BIG LOTS Durant	70025023 92014030	P16045BIG	2,886	481	6	22101D15I	DELIVERED 11/19/21	1	6199	\$5,997 + BAF-\$202	\$ 11,336.89	\$ 6,199.00	\$ 5,137.89	\$ -	\$ -	\$ -	\$ -	\$ -	TopOcean Wan Hai Line	\$ 11,397.19
0010393	Weifang Kalmox	2-Oct-21	Qingdao, China	4C Logistics Itasca, IL	KOCU4370972	1 x 40'HQ	41.70	21-Oct-21	Los Angeles, CA	31-Oct-21	MSRF	70025049	P165926-17	4,200	700	6	22101D68	RECEIVED	1	5739	\$5,537 + BAF-\$202	\$ 15,050.00	\$ 5,739.00	\$ 9,311.00	\$ 1,490.00	\$ 242.00	\$ 372.18	\$ 6,000.00	\$ 540.00	RSL/Pegasus Hyundai	\$ 27,271.64
																					7	\$ 43,324.00		\$ 65,750.72		\$ 7,962.12		\$ 1,123.26			

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